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SECTION 1 (50 marks) – Ambrosia Auto Ltd

QUESTION 1 – Evaluate the results of the audit data analytic exercise for the purpose of the planning analytical review for Ambrosia.

Risk	Evaluation	Impact on financial statements
Spare parts inventory	Spare parts older than 4 years have increased to 10% of inventory from 5% in the prior year. This may be indicative of a slowdown in demand of the spares and an increased risk of obsolescence.	There is a risk of misstatement of the carrying amount within inventory.
Payroll overtime costs	The overtime costs have significantly increased in the months of March, April and May compared to prior year. This may be indicative of invalid overtime costs charged in those months.	There is a risk that payroll costs may be overstated.
Change in customer mix	Ambrosia has a new customer amongst its top five customers, Nor Car Rentals. A new regular customer does not present a risk to a financial statements line based on information already provided.	No impact on the financial statements.
Receivables allowance for doubtful debts	Accounts receivables older than the standard 90-day credit terms have increased from 5% to 14% of total receivables. There is a risk that accounts receivables may not be fully recoverable.	The allowance for doubtful debts may be understated, resulting in overstatement of trade receivables.

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QUESTION 2 – Evaluate any additional audit risks identified from review of the information gathered for Ambrosia.

Risk	Evaluation	Impact on financial statements
Government tax incentives and rebates	Ambrosia will lose tax rebates and manufacturer rebates in March 2026 which currently account for 40% of the company's cash flows. 40% is a significant part of the cashflow.	The loss of this source of cash inflow may impact Ambrosia's ability to continue as a going concern.
Shortage of technicians	Shortage of experienced technicians due to Brexit. This has resulted in an increase in poor workmanship and associated cost of meeting warranty obligations.	The provision for warranty costs may be understated due to an increase in cost of rectifying poor workmanship on jobs.

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QUESTION 3 – Design substantive procedures in response to the audit risks identified in question 1 and question 2.

Risk	Substantive procedure
Inventory cost vs NRV write-down	• Obtain the lower of cost and net realisable value calculation and assess its reasonableness. • Select a sample of spare parts (inventory items) and obtain details of sales post year end; where items have not been sold and not included in the write down, inquire of management why those items not sold have not been written down**.**
Payroll overtime costs	• Select a sample of overtime payments in March, April and May, and agree the amounts paid to authorised timesheets. • Perform a payroll reconciliation, agreeing the payroll summary figures to the payroll figures in the trial balance. • Select a sample of overtime payments in April, May and June and agree the amounts paid to payslips and bank statements, showing that the payments were actually made.
Receivables allowance for doubtful	• Enquire about customers with balances outwith their credit terms and discuss when payment is due or any payment plans in place. If no payment is expected, ensure the balance is included in the provision. • Test post year end receipts and if the balance hasn't been paid see if it has been included in the provision. If not included, discuss with management to see if it should be provided for. If it has been paid, ensure it is not in the provision.

Going concern	• Obtain Ambrosia's going concern assessment, including projected cash flows, which covers a period of at least 12 months from the date of approval of the financial statements. • Enquire about management's key assumptions and judgments supporting the assessment and assess their reasonableness. • Specifically focusing on the shortfalls from the end of manufacturer rebates and government tax incentives, enquire about management's plans to meeting resulting cash flow shortages from the end of these two schemes.
Warranty provision	• Obtain from management the main assumptions made when calculating the warranty provision, assess these for reasonableness. • Enquire about specific changes to the policy to incorporate the increase in poor workmanship due to shortage of experienced technicians. • Review post period end warranty claims to ensure that the warranty provision was in line with the amounts of claims received post year end.

QUESTION 4 – Recommend a level for overall materiality and the trivial threshold for Bubble, explaining your reasons.

Benchmark selected	Reason	Range	Calculated materiality range
Profit before tax	• Profit focused entity • Executive management compensation plan focused on profitability • Banking covenants focused on quarterly profit before tax	5 – 10%	£60,000 – £120,000

The 2025 profit before tax of £1,200,000, is being used to calculate materiality. This is because Bubble has experienced growth in recent years, and we have not been told of any issues with the numbers in the accounts; so used the current year figure.

Selected materiality is £60,000 as this is a first-year audit and there is no history of errors and lack of familiarity with the control environment.

Trivial threshold is £3,000 (5% of overall materiality of £60,000).

Note: **Candidates may use a different approach, for example using an average of 2024 & 2025.**

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SECTION 2 (40 marks) – Aggrie Fertilisers Limited

QUESTION 5 - Evaluate the acceptance risks, excluding the complexity of the group, in relation to the audit engagement of Aggrie.

QUESTION 6 - Recommend further actions that the firm should take, in relation to any identified risks, before the engagement can be accepted.

Acceptance risk **(Question 5)**	**Evaluation** **(Question 5)**	**Further actions** **(Question 6)**
Overseas site Aggrie Brazil operates using its legacy accounting systems which are different from those of the rest of the company.	This indicates a higher risk of misstatements in the financial statements as information is sent from Brazil to the head office in Scunthorpe for inclusion in the company financial statements and will increase the audit work required to complete the audit and, to ensure the accuracy and validity of the information received from Brazil. There is a high risk of human error. This will require significant additional audit resources to address these areas.	The audit work for this new Brazilian division with a different accounting system will need to be increased, ensuring that there are sufficient resources (staff time and expertise) to complete the work.
Sustainability reporting Aggrie will include some sustainability reporting within its Annual Report which will include metrics around its environmental goals.	The reporting and measuring of sustainability metrics can be subjective with information generated internally increasing the risk that it is not correctly recorded. In addition, there is a risk of management bias due to the subjective nature of the metrics.	The audit firm will need to ensure that the engagement letter and the audit report clearly state the limitations of the assurance work in relation to the sustainability information.

Reputational / ethical risk – bad publicity Aggrie Kazakhstan has received bad publicity regarding high levels of chemicals in the adjacent river following recent water quality tests.	The firm may be exposed to reputational damage as a result of being associated with a company which may have a poor reputation in relation to having caused environmental damage.	The firm should evaluate the impact of the online blogs and press coverage. If Aggrie does have a poor reputation and accepting the audit would have a negative impact on the firm's reputation, the engagement should not be accepted.
Capability – firm's resources The deadline for signing the audit report is 15 February 2026 and this is during a very busy time for the department.	This is a short timeframe and due to the existence of overseas locations and foreign currencies, there is a risk that the firm does not have the appropriate levels of staff with the relevant skills to perform the audit.	The firm should check our staff availability in January and February to ensure that there is a sufficient number of staff with relevant skills and expertise to perform the audit to Aggrie's timetable.
Client identification Two of the directors are not UK based; the director for Brazil has never visited the UK since the site was acquired, and the Kazakhstan director now only attends meetings virtually after having attended in person in prior years.	This makes it harder for us to obtain the necessary documentation to confirm the full name and address of the directors as required under Money Laundering Regulations.	The firm will need to directly contact the Brazil-based and Kazakhstan-based directors to obtain the necessary information. If we are unable to perform these actions or prevented from fulfilling this statutory responsibility, then the audit engagement should be declined.

Independence / familiarity risk Harriet remarked that it was great to catch up with Kyle as they only see each other at their children's school events.	This indicates that there is a familiarity risk arising from their friendship and if the firm were to accept the appointment there would be a threat to independence should Harriet be the audit partner.	Should the appointment be accepted, an audit partner other than Harriet should be appointed.

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QUESTION 7 - Explain requirements of an engagement letter per ISA (UK) 210.

Note: The depth of explanations provided below is greater than would be expected from candidates; therefore, credit would be awarded for meaningful explanations of the requirements of an engagement letter.

ISA (UK) 210 highlights elements that must be included in the engagement letter:

1. **The objective and scope of the audit of the financial statements**

   Explains which specific elements of the financial statements are being audited (Statement of comprehensive income, statement of changes in equity, and statement of financial position and statement of cashflows and notes to the financial statements). Objectives refers to reasonable assurance that auditors provide that the financial statements are free from material misstatement and to issue an auditors' report.

2. **The responsibilities of the auditor**

   Explains the framework within which the audit is undertaken - International Standards on Auditing (UK and Ireland) and, in accordance with these standards, auditors exercise professional judgement and maintain professional scepticism.

3. **The responsibilities of management**

   This ensures that management are aware that it is responsible for:

   - preparing accurate financial statements in accordance with an acceptable financial reporting framework;
   - ensuring proper internal controls over the preparation of financial statements are in place to ensure financial statements are free from material misstatement, whether due to fraud or errors; and
   - providing the auditor with access to all records and staff to provide any explanations necessary.

4. **Identification of the applicable financial reporting framework for the preparation of the financial statements**

   This ensures that management understand that they have responsibility for preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards.

5. Reference to the expected form and content of any reports to be issued by the auditor, including a statement that there may be circumstances in which a report may differ from the expected form and content

This confirms if there is any elaboration of the scope of the audit. In addition, the ISA also recognises that engagement letters and audit reports may vary depending on the engagement and, therefore, lists additional information that may be included in the letter including fee and billing details and arrangements regarding the planning and performance of the audit, such as the composition of the audit team.

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SECTION 3 (30 marks) – Torcida Ltd

QUESTION 8 - Identify the internal control weaknesses in Torcida's payroll process, explain the potential impact of those weaknesses and make a recommendation as to how those weaknesses should be addressed.

Weakness	Impact	Recommendation
Wage rates have not been reviewed for six months.	Most staff are paid minimum wage. It is possible that any updates to the minimum wage rates have not been implemented appropriately. This could result in understatement of payroll costs and potential fines/penalties.	The review should be undertaken for all staff members immediately. Additionally, a review should additionally be undertaken annually for the first pay run in April, at which point new minimum wage rates apply.
There is no formal clock in process for manufacturing employees. Employees are paid based on timesheets they produce themselves.	As there is no formalised clock in process, and employees themselves state the hours they have worked, it is possible that employees could claim for additional hours not worked, increasing payroll cost. This weakness is amplified by the fact that supervisors are not on site for the full shift of the employees, so cannot confirm the employees' hours.	Implement a formalised clock in process using timecards that are stamped with date and time of arrival/departure of the employee on site.

Timesheets are required to be authorised and submitted to the payroll department by 10am on Monday mornings.	This is a very tight turnaround for payroll, giving staff little time to get their timesheet authorised if they have been working on the Sunday. This is exacerbated by the fact that the factory supervisors are not available to authorise the timesheet when the shift ends. This could result in staff costs being recorded in incorrect periods, which may in turn result in a misstatement in the payroll costs.	Ensure that resources are available to be able to authorise timesheets and process payroll in time for wages to be paid on time.
The factory supervisors have been processing new temporary staff for the last six weeks.	The factory supervisor may not carry out all of the required procedures for processing new staff. This may result in the temporary staff being set up incorrectly in the payroll system resulting in late/incorrect pay, incorrect statutory deductions and incomplete payroll records.	All new staff should be processed by the HR department to ensure that procedures are followed correctly. If this is not possible, the HR staff should review any new starter documentation and authorise it before it is sent to the payroll department.
Overtime forms do not require authorisation for overtime under five hours.	This could result in employees fraudulently/erroneously claiming to have worked five hours overtime per week. This would result in payment to employees for hours not worked and additional payroll costs.	All overtime, including that under 5 hours, should be authorised by the factory supervisor before being processed by the payroll department. This authorisation should be evidenced by way of a signature.

The information input into the payroll software is not reviewed for errors.	There will be a large volume of data to be input into the payroll software for the weekly payroll. Lack of review of this data input could result in incorrect payments to employees, incorrect statutory deductions and under/overstated payroll expenses.	A payroll report of the data input for the weekly payroll should be produced and reviewed for errors. This review should be evidenced by a signature.